

The first question most prospective home buyers ask is “What price home can I afford?” The answer, to a great extent, depends not only on how big a mortgage you can obtain, but on whether you can handle the payments comfortably and the stability of your situation. Your mortgage is said to be “secured by” the property, meaning that if you don’t pay it back, the lender can take your home. Recently, with millions of homeowners unable to pay back their home loans, lenders have made the eligibility requirements for getting a loan much tougher. Here is what lenders consider when deciding whether to give you a mortgage and determining your interest rate.

- **Your credit record.** Lenders are concerned about whether you have a history of paying off your debt—especially these days. To find this out, they’ll get a copy of your credit reports and credit score, which reveal your financial behavior.
(For more details, go to Chapter 3). Borrowers with above-average scores can get the best deals, which can save them hundreds of dollars a month and *thousands* of dollars a year compared to someone with bad credit. Borrowers with lower-than-average credit scores will have to look a little harder, and won’t get the best deal. And if you have poor credit, it may be hard to find anyone to give you a mortgage. Regardless of your score, lenders also want to see that you haven’t defaulted on any loans (that means credit cards, student loans, car loans) or gone bankrupt, especially within the past two years.
- **Your ability to come up with the cash.** Few if any lenders will give you a loan for the full purchase price of a home. Instead, they require you to contribute some of your own money, called a **down payment**, up front. Lenders tend to want a down payment of 10% or even 20% of the price of the home, depending on both your credit record and the cost of the house. (There are some special programs, which I’ll discuss later, that may allow you to make smaller down payments.) Coming up with a down payment is one of the main obstacles for first-time home buyers.